UNION BUDGET 2025-26

COVER STORY

A JOB WELL DONE

The middle class gets massive tax cuts, the economy a consumption boost and the promise of reforms, whose execution will put India on the path to higher growth

By TEAM INDIA TODAY



HIGH SPIRITS Finance minister Nirmala Sitharaman on her way to present the budget, Feb. 1

IT **was not expected to be an ordinary budget. The first full budget** after the Narendra Modi government took charge for a third consecutive time, it had the hopes of an entire nation riding on it. Would it arrest the slowdown of the Indian economy and put it on the high growth path to Viksit Bharat? Would the country be able to face the headwinds caused by the second Donald Trump presidency in America, especially on the export front, after he dubbed India as the tariff king? China, meanwhile, has launched a war of a different kind with DeepSeek, its cheaper, more efficient answer to America's ChatGPT. What must India do to ensure it's not left behind in Industrial Revolution 4.0?

But the loftier imperatives apart, Budget 2025 first had to strengthen the hands of its own people. The Long Covid of the economy had taken a toll on the country's middle classes, the chief protagonists of India's consumption story since liberalisation in 1991 and now the key drivers of the economy. Biting that bullet, Union finance minister Nirmala Sitharaman decided to forgo Rs 1 lakh crore in government revenue and provide income tax relief instead to the salaried class, so that those earning up to Rs 1 lakh a month escape its ambit altogether, while others pay less in tax. This, experts hope, would lead to a virtuous cycle of consumption and investment, and lift India's sagging growth that is estimated to be 6.4 per cent in FY25 and between 6.3 and 6.8 per cent in FY26, not enough to generate employment for millions of youth.

Though the taxation proposals stole the limelight, the government did not take its eyes off other areas requiring attention. The finance minister laid due emphasis on what she called the four power engines of